

Canada Bread Company, Limited

Interim Financial Statements

For the First Quarter Ended

March 31, 2014

Consolidated Balance Sheets

(In thousands of Canadian dollars)	**As at March 31, 2014**	As at March 31, 2013	As at December 31, 2013
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 144,096**	$ 95,526	$ 325,062
Accounts receivable *(Note 4)*	**14,761**	47,983	38,480
Note receivable *(Note 4)*	**46,432**	42,311	35,982
Inventories *(Note 5)*	**53,717**	61,661	52,371
Income taxes recoverable	**5,903**	167	4,725
Assets held for sale *(Note 6)*	**–**	–	4,372
Prepaid expenses and other assets	**6,362**	7,002	3,579
	$ 271,271	$ 254,650	$ 464,571
Property and equipment	**373,322**	399,861	372,542
Investment property	**9,815**	9,148	9,634
Other long-term assets	**4,793**	5,190	4,435
Deferred tax asset	**9,667**	18,200	9,218
Goodwill *(Note 8)*	**271,300**	265,934	268,444
Employee benefits *(Note 7)*	**1,758**	–	–
Intangible assets *(Note 9)*	**10,001**	9,753	9,804
Total assets	**$ 951,927**	$ 962,736	$ 1,138,648
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ –**	$ 3,088	$ 4,408
Accounts payable and accruals	**215,599**	162,416	204,422
Provisions *(Note 10)*	**5,304**	17,357	7,375
Due to Maple Leaf Foods Inc. *(Note 18)*	**6,143**	5,116	4,036
Dividends payable	**19,062**	12,708	216,042
Other current liabilities	**100**	–	100
Current portion of long-term debt	**554**	531	568
	$ 246,762	$ 201,216	$ 436,951
Long-term debt	**2,051**	4,138	2,357
Deferred tax liability	**36,900**	21,119	36,954
Employee benefits *(Note 7)*	**36,960**	47,855	32,547
Other long-term liabilities	**4,562**	–	1,876
Provisions *(Note 10)*	**5,488**	5,039	5,630
Total liabilities	**$ 332,723**	$ 279,367	$ 516,315
Shareholders' equity			
Share capital	**$ 142,965**	$ 142,965	$ 142,965
Retained earnings	**466,309**	551,398	477,002
Accumulated other comprehensive income (loss) *(Note 11)*	**9,930**	(10,994)	2,366
Total shareholders' equity	**$ 619,204**	$ 683,369	$ 622,333
Total liabilities and shareholders' equity	**$ 951,927**	$ 962,736	$ 1,138,648

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Earnings

(In thousands of Canadian dollars, except share amounts) *(Unaudited)*	Three months ended March 31, **2014**	2013
		(Restated) (Note 16)
Sales	**$ 342,837**	$ 346,867
Cost of goods sold	**272,659**	282,995
Gross margin	**$ 70,178**	$ 63,872
Selling, general and administrative expenses	**49,877**	46,754
Earnings before the following:	**$ 20,301**	$ 17,118
Restructuring and other related costs *(Note 12)*	**(1,877)**	(10,411)
Other expense *(Note 14)*	**(4,406)**	(2,513)
Earnings before interest and income taxes from continuing operations	**$ 14,018**	$ 4,194
Interest expense *(Note 15)*	**214**	397
Earnings before income taxes from continuing operations	**$ 13,804**	$ 3,797
Income taxes	**3,960**	1,503
Net earnings from continuing operations	**$ 9,844**	$ 2,294
Net loss on disposal of discontinued operations *(Note 16)*	**(628)**	(13)
Net earnings	**$ 9,216**	$ 2,281
Earnings per share *(Note 17)*		
Basic and diluted earnings per share	**$ 0.36**	$ 0.09
Basic and diluted earnings per share from continuing operations	**$ 0.39**	$ 0.09
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended March 31, **2014**	2013
Net earnings	**$ 9,216**	$ 2,281
Item that will not be reclassified to profit or loss:		
Change in actuarial gains and losses	**(847)**	6,503
Total item that will not be reclassified to profit or loss	**(847)**	6,503
Items that are or may be reclassified subsequently to profit or loss:		
Change in accumulated foreign currency translation adjustment	**6,999**	928
Change in unrealized gains and losses on cash flow hedges	**565**	844
Total items that are or may be reclassified subsequently to profit or loss	**$ 7,564**	$ 1,772
	$ 6,717	$ 8,275
Comprehensive income	**$ 15,933**	$ 10,556

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) *(Unaudited)*	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive income**	**Total shareholders' equity**
Balance at December 31, 2013	**$ 142,965**	**$ 477,002**	**$ 2,366**	**$ 622,333**
Net earnings	**–**	**9,216**	**–**	**9,216**
Other comprehensive income	**–**	**(847)**	**7,564**	**6,717**
Dividends declared ($0.75 per share)	**–**	**(19,062)**	**–**	**(19,062)**
Balance at March 31, 2014	**$ 142,965**	**$ 466,309**	**$ 9,930**	**$ 619,204**

(In thousands of Canadian dollars) *(Unaudited)*	Share capital	Retained earnings	Total accumulated other comprehensive income (loss)	Total shareholders' equity
Balance at December 31, 2012	$ 142,965	$ 555,322	$ (12,766)	$ 685,521
Net earnings	–	2,281	–	2,281
Other comprehensive income	–	6,503	1,772	8,275
Dividends declared ($0.50 per share)	–	(12,708)	–	(12,708)
Balance at March 31, 2013	$ 142,965	$ 551,398	$ (10,994)	$ 683,369

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended March 31, **2014**	2013
CASH (USED IN) PROVIDED BY:		
Operating activities		
Net earnings	**$ 9,216**	$ 2,281
Add (deduct) items not affecting cash:		
Depreciation and amortization	**11,714**	12,777
Deferred income taxes	**1,714**	(2,502)
Income tax current	**2,406**	4,001
Interest expense	**214**	397
(Gain) loss on sale of property and equipment	**124**	(1,316)
Gain on sale of assets held for sale	**(1,725)**	–
Loss on sale of business	**468**	–
Gain on sale of intangibles	**(364)**	–
Loss on sale of investment properties	**26**	–
Impairment of assets	**–**	3,570
Increase in pension liability	**1,513**	1,282
Net income taxes paid	**(5,665)**	(8,591)
Interest received (paid)	**(175)**	64
Change in provision for restructuring and other related costs	**(2,009)**	6,421
Other	**2,014**	142
Change in non-cash operating working capital	**22,894**	(1,513)
Cash provided by operating activities	**$ 42,365**	$ 17,013
Financing activities		
Dividends paid	**$ (216,042)**	$ (12,708)
(Repayment) drawings of long-term debt	**(349)**	1,650
Cash used in financing activities	**$ (216,391)**	$ (11,058)
Investing activities		
Additions to property and equipment	**$ (10,189)**	$ (6,488)
Proceeds from sale of property and equipment	**8,125**	2,556
Adjustment to sale of business	**(468)**	–
Cash used in investing activities	**$ (2,532)**	$ (3,932)
Increase (decrease) in cash and cash equivalents	**$ (176,558)**	$ 2,023
Net cash and cash equivalents, beginning of period	**320,654**	90,415
Net cash and cash equivalents, end of period	**$ 144,096**	$ 92,438
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	**$ 144,096**	$ 95,526
Bank indebtedness	**–**	(3,088)
Net cash and cash equivalents, end of period	**$ 144,096**	$ 92,438

See accompanying Notes to the Unaudited Condensed Consolidated Interim Financial Statements.

Notes to the Condensed Consolidated Interim Financial Statements

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7, Canada. The unaudited condensed consolidated interim financial statements of the Company as at and for the three months ended March 31, 2014, include the accounts of the Company and its subsidiaries. The Company's results are organized into two segments: Fresh Bakery and Frozen Bakery. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

Pending Transaction

On February 12, 2014, the Company announced that Grupo Bimbo, S.A.B. de C.V. of Mexico ("Grupo Bimbo") had agreed to acquire all of the issued and outstanding common shares of Canada Bread, by way of a statutory arrangement under the *Business Corporations Act* (Ontario) (the "Arrangement"). Under the terms of the Arrangement, Grupo Bimbo has agreed to acquire each common share of Canada Bread for $72.00 per share in cash.

On March 17, 2014, the proposed transaction received approval from the Canadian Competition Bureau to proceed. On March 24, 2014, the proposed transaction received clearance from the U.S. Department of Justice under the Hart-Scott-Rodino Act to proceed.

Subsequent to the quarter end, the arrangement was also approved by the shareholders of Canada Bread at a special meeting held in April 2014. Subject to Investment Canada approval, the proposed transaction is expected to close in the second quarter of 2014.

2. BASIS OF PREPARATION

(a) Statement of Compliance

The unaudited condensed consolidated interim financial statements (or "consolidated financial statements") have been prepared in accordance with International Accounting Standards ("IAS") 34 *Interim Financial Reporting* as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described herein, consistent with the Company's 2013 annual audited consolidated financial statements except for new accounting standards adopted during the period as described in Note 3(a).

The consolidated financial statements were approved for issue by the Board of Directors on April 30, 2014.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis, except for certain financial instruments, and defined benefit plan assets that are stated at fair value. Liabilities associated with employee benefits are stated at actuarially determined present values.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgements

The preparation of consolidated financial statements in accordance with International Financial Reporting Standards ("IFRS") requires Management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgements included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgements relate to the application of accounting policies and decisions related to the measurement, recognition, and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimation uncertainty and critical judgements.

Long-lived Assets Valuation

The Company performs impairment testing annually for goodwill and intangible assets and, when circumstances indicate that there may be impairment, for other long-lived assets. Management judgement is involved in determining if there are circumstances indicating that testing for impairment is required, and in identifying their Cash Generating Units ("CGUs") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU, or CGU group to its carrying value. The recoverable amount is defined as the higher of: (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgement and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates, and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Measurement of Fair Values

A number of the Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities. When the measurement of fair values cannot be determined, based on quoted prices in active markets, fair value is measured using valuation techniques and models. The inputs to these models are taken from observable markets where possible but, where this is not feasible, a degree of judgement is required in establishing fair values. Changes in assumptions about these inputs to these models could affect the reported fair value of the Company's financial and non-financial assets and liabilities.

When measuring fair value of an asset or liability, the Company uses market observable data as far as possible. To the extent that these estimates differ from those realized, the measured asset or liability, net earnings, and/or comprehensive income (loss) will be affected in future periods.

Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in the Company's 2013 annual audited consolidated financial statements.

Nature of Interests in Other Entities

Management applies significant judgement in assessing the nature of its interest in an unconsolidated structured entity. The Company does not hold any equity interest in the structured entity and based on the terms of the agreements under which the entity is established, the Company receives none of the returns related to their operations and is exposed to limited recourse with respect to losses.

Valuation of Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are lower, thus reducing the risk of inventory obsolescence. However, code or "best before" dates are very important in the determination of realizable value of inventory. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected in future periods.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and customer contracted rates for allowances, discounts, and rebates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected in future periods.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service, and Management's best estimate of salary escalation and mortality rates. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities and expenses. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized, employee benefit plan liabilities and comprehensive income (loss) will be affected in future periods.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgement is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. To the extent that these adjustments differ from original estimates, deferred tax assets and liabilities, net earnings, and comprehensive income (loss) will be affected in future periods.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. Provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, net earnings, and comprehensive income (loss) in future periods.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings and comprehensive income (loss) in future periods.

3. SIGNIFICANT ACCOUNTING POLICIES

The consolidated financial statements should be read in conjunction with the Company's 2013 annual audited consolidated financial statements. These consolidated financial statements have been prepared in accordance with IFRS using the same accounting policies as were applied from the 2013 annual consolidated financial statements, except for new standards adopted during the period, as described below.

(a) Accounting Standards Adopted During the Period

The Company applied, for the first time beginning on January 1, 2014, certain standards and amendments. As required by IAS 34 *Interim Financial Reporting* and IAS 8 *Accounting Policies, Change in Accounting Estimates and Errors*, the nature and the effect of these changes are disclosed below.

Financial Assets and Liabilities

Beginning on January 1, 2014, the Company adopted the amendments to IAS 32 *Financial Instruments: Presentation* on a retrospective basis with restatement. The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset, as well as clarify, when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The impact of the adoption of the amendments to IAS 32 did not have any impact on the Company's consolidated financial statements.

Levies

Beginning January 1, 2014, the Company adopted International and Financial Reporting Interpretations Committee ("IFRIC") IFRIC 21 *Levies* on a retrospective basis with restatement. The IFRIC is applicable to all levies other than outflows that are within the scope of other standards and fines or other penalties for breaches of legislation. The interpretation clarifies that an entity recognises a liability for a levy when the activity that triggers payments, as identified by the relevant legislation, occurs. The adoption of IFRIC 21 did not have a material impact on the Company's consolidated financial statements.

Novation of Derivatives and Continuation of Hedge Accounting

Beginning January 1, 2014, the Company adopted IAS 39 *Novation of Derivatives and Continuation of Hedge Accounting* (Amendments to IAS 39 *Financial Instruments: Recognition and Measurement)*. The amendments added a limited exception to IAS 39, to provide relief from discontinuing an existing hedging relationship when novation that was not contemplated in the original hedging documentation meets specific criteria. The impact of the adoption of the amendments to IAS 39 did not have an impact on the Company's consolidated financial statements.

(b) Recent Accounting Pronouncements

Employee Benefits

In November 2013, the IASB published amendments to IAS 19 *Employee Benefits*. The effective date for these amendments is annual periods beginning on or after July 1, 2014. These amendments are to be applied retrospectively. IAS 19 requires an entity to consider contributions from employees or third parties when accounting for defined benefit plans. IAS 19 requires such contributions that are linked to service to be attributed to periods of service as a negative benefit. The amendments to IAS 19 provide a practical expedient for simplifying the accounting in certain situations. If the amount of contribution is independent of the number of years of service, an entity is permitted to recognize such contributions as a reduction in the service costs in the period in which the service is rendered, instead of allocating the contributions to the period's service. The Company intends to adopt the amendments to IAS 19 in its consolidated financial statements for the annual period beginning January 1, 2015. The extent of the impact of the adoption of amendments to IAS 19 has not yet been determined.

Annual Improvements to IFRS (2010 – 2012) and (2011 – 2013) cycles

In December 2013, the IASB issued narrow-scope amendments to a total of nine standards as part of its annual improvements process. Amendments were made to clarify items including the definition of vesting condition in IFRS 2 *Share-Based Payment*, disclosure on the aggregation of operating segments in IFRS 8 *Operating Segments*, measurement of short-term receivables and payables under IFRS 13 *Fair Value Measurement*, definition of related party in IAS 24 *Related Party Disclosures* and other amendments. Special transitional requirements have been set for certain of these amendments. Most amendments will apply prospectively for annual periods beginning on or after July 1, 2014, earlier application is permitted. The Company intends to adopt these amendments in its consolidated financial statements for the annual period beginning January 1, 2015. The extent of the impact of adoption of the amendments has not yet been determined.

Financial Instruments – Recognition and Measurement

In November 2009, the IASB issued IFRS 9 *Financial Instruments (*IFRS 9 (2009)*)* and in October 2010, the IASB published amendments to IFRS 9 (IFRS 9 (2010)). IFRS 9 (2009) introduces new requirements for the classification and measurement of financial assets. IFRS 9 (2010) introduces additional changes relating to financial liabilities. In November 2013, the IASB published amendments to IFRS 9 *Financial Instruments*, IFRS 7 *Financial Instruments: Disclosures*, and IAS 39 *Financial Instruments: Disclosures* (collectively, IFRS 9 (2013)) to include a new general hedge accounting model and allow the adoption of the treatment of fair value changes due to a Company's own credit risk on financial liabilities designated at fair value through profit or loss. Special transitional requirements have been set for the application of the new general hedging model. This amendment removes the January 1, 2015, effective date. In February 2014, the IASB tentatively decided that the mandatory effective date for these amendments to be January 1, 2018. The Company intends to adopt IFRS 9 in its consolidated financial instruments for the annual periods beginning January 1, 2018. The extent of the impact of the adoption of IFRS 9 has not yet been determined.

4. ACCOUNTS RECEIVABLE AND NOTE RECEIVABLE

Components of accounts receivable are as follows:

	As at March 31, 2014	As at March 31, 2013	As at December 31, 2013
Trade receivables	**$ 2,723**	$ 32,506	$ 18,851
Less: Allowance for doubtful accounts	**(1,680)**	–	–
Net trade receivables	**$ 1,043**	$ 32,506	$ 18,851
Other receivables	**13,718**	15,477	19,629
	$ 14,761	$ 47,983	$ 38,480

The aging of trade receivables is as follows:

	As at March 31, 2014	As at March 31, 2013	As at December 31, 2013
Current	**$ 1,043**	$ 30,919	$ 17,149
Past due 0-30 days	**–**	1,304	1,339
Past due 31-60 days	**1,680**	43	108
Past due 61-90 days	**–**	30	6
Past due > 90 days	**–**	210	249
	$ 2,723	$ 32,506	$ 18,851

The Company records an allowance for doubtful accounts that represents its estimate of the risk of uncollectible amounts based on specific losses estimated on individual exposures.

Under revolving securitization programs, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibility for these receivables. At March 31, 2014, trade accounts receivable being serviced under these programs amounted to $77.5 million (2013: $92.5 million). In return for the sale of its trade receivables, the Company will receive cash of $31.1 million (2013: $50.2 million) and notes receivable in the amount of $46.4 million (2013: $42.3 million). The note receivable is non-interest bearing and are adjusted on the settlement dates of the securitized accounts receivable. Due to timing of receipts and disbursements, the Company may, from time to time, also record a receivable or payable related to the securitization facility.

As at March 31, 2014, the Company recorded a net payable of $29.9 million (2013: $0.3 million net receivables) in payables and accruals.

The Company's securitization programs require the sale of trade receivables to be treated as a sale from an accounting perspective and as a result, trade receivables sold under these programs are derecognized in the consolidated balance sheets as at March 31, 2014 and 2013.

5. INVENTORIES

	As at March 31, 2014	As at March 31, 2013	As at December 31, 2013
Raw materials	**$ 8,726**	$ 12,293	$ 10,067
Work in process	**45**	65	67
Finished goods	**18,515**	21,586	15,766
Packaging	**6,800**	8,207	7,567
Spare parts	**19,631**	19,510	18,904
	$ 53,717	$ 61,661	$ 52,371

During the three months ended March 31, 2014, inventory in the amount of $186.5 million (2013: $210.2 million) was expensed through cost of goods sold.

6. ASSETS HELD FOR SALE

Assets held for sale relate to investment properties that are expected to be sold within the next 12 month period. The assets held for sale are considered non-allocated assets in segment reporting as disclosed in Note 20.

There were no assets held for sale as at March 31, 2014 and 2013.

7. EMPLOYEE BENEFITS

During the three months ended March 31, 2014, the Company recorded $3.5 million (2013: $4.2 million) related to net benefit plan expense including post-retirement benefit costs.

8. GOODWILL

Cost	**March 31, 2014**	March 31, 2013
Opening balance	**$ 389,224**	$ 378,638
Foreign currency translation	**6,039**	(967)
Balance	**$ 395,263**	$ 377,671
Impairment losses		
Opening balance	**$ (120,780)**	$ (114,395)
Foreign currency translation	**(3,183)**	2,658
Balance	**$ (123,963)**	$ (111,737)
Net carrying amounts	**$ 271,300**	$ 265,934

For the purposes of annual impairment testing, goodwill is allocated to the following groups of Cash Generating Units ("CGUs"), being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

	As at March 31, 2014	As at March 31, 2013	As at December 31, 2013
CGU Groups			
Canadian fresh bakery	**$ 123,867**	$ 123,867	$ 123,867
North American frozen bakery	**147,433**	140,042	144,577
Fresh pasta[(i)]	**–**	2,025	–
	$ 271,300	$ 265,934	$ 268,444

(i) *The goodwill relating to Fresh Pasta and sauce business ("Olivieri") was disposed of during 2013. Refer to Note 16 for further details.*

9. INTANGIBLE ASSETS

	As at March 31, 2014	As at March 31, 2013	As at December 31, 2013
Indefinite life	**$ 967**	$ 1,282	$ 1,002
Definite life	**9,034**	8,471	8,802
Total intangible assets	**$ 10,001**	$ 9,753	$ 9,804

All indefinite life intangible assets are part of the Fresh Bakery CGU group.

10. PROVISIONS

	Legal	**Environmental**	**Lease make-good**	**Restructuring and other related costs[i]**	**Total**
Balance at December 31, 2013[ii]	**$ 322**	**$ 1,316**	**$ 2,396**	**$ 8,971**	**$ 13,005**
Charges	**91**	**–**	**16**	**1,681**	**1,788**
Cash payments	**(413)**	**–**	**–**	**(3,886)**	**(4,299)**
Foreign currency translation	**–**	**–**	**105**	**193**	**298**
Balance at March 31, 2014	**$ –**	**$ 1,316**	**$ 2,517**	**$ 6,959**	**$ 10,792**
Current					**$ 5,304**
Non-current					**5,488**
Total at March 31, 2014					**$ 10,792**

	Legal	Environmental	Lease make-good	Restructuring and other related costs[i]	Total
Balance at December 31, 2012	$ 394	$ 1,495	$ 3,758	$ 10,558	$ 16,205
Charges	–	–	–	10,587	10,587
Reversals	–	(103)	–	(161)	(264)
Cash payments	(23)	–	–	(4,000)	(4,023)
Foreign currency translation	–	–	(109)	–	(109)
Balance at March 31, 2013	$ 371	$ 1,392	$ 3,649	$ 16,984	$ 22,396
Current					$ 17,357
Non-current					$ 5,039
Total at March 31, 2013					$ 22,396

[i] *For additional information on restructuring and other related costs, see the table below.*

[ii] *Balance at December 31, 2013 includes current portion of $7.4 million and non-current portion of $5.6 million.*

The following table provides a summary of provisions recorded in respect of restructuring and other related costs as at March 31, 2014 and March 31, 2013, all on a pre-tax basis:

	Severance	Site closing and other cash costs	Retention	Restructuring and other related costs
Balance at December 31, 2013	**$ 4,088**	**$ 4,815**	**$ 68**	**$ 8,971**
Charges	**–**	**216**	**1,465**	**1,681**
Cash payments	**(1,294)**	**(2,562)**	**(30)**	**(3,886)**
Foreign currency translation	**(29)**	**222**	**–**	**193**
Balance at March 31, 2014	**$ 2,765**	**$ 2,691**	**$ 1,503**	**$ 6,959**

	Severance	Site closing and other cash costs	Retention	Restructuring and other related costs
Balance at December 31, 2012	$ 6,566	$ 3,930	$ 62	$ 10,558
Charges	9,751	623	213	10,587
Reversals	(161)	–	–	(161)
Cash payments	(2,972)	(865)	(163)	(4,000)
Balance at March 31, 2013	$ 13,184	$ 3,688	$ 112	$ 16,984

11. ACCUMULATED OTHER COMPREHENSIVE INCOME (LOSS) ATTRIBUTABLE TO SHAREHOLDERS

	Foreign currency translation adjustments[i]	Unrealized gain on cash flow hedges[i]	Change in actuarial gains and (losses)[ii]	Total accumulated other comprehensive income
Balance at December 31, 2013	**$ 2,115**	**$ 251**	**$ -**	**$ 2,366**
Other comprehensive income (loss)	**6,999**	**565**	**(847)**	**6,717**
Transfer to retained earnings	**–**	**–**	**847**	**847**
Balance at March 31, 2014	**$ 9,114**	**$ 816**	**$ –**	**$ 9,930**

	Foreign currency translation adjustments[i]	Unrealized gain (loss) on cash flow hedges[i]	Change in actuarial gains and (losses)[ii]	Total accumulated other comprehensive income (loss)
Balance at December 31, 2012	$ (12,723)	$ (43)	$ –	$ (12,766)
Other comprehensive income	928	844	6,503	8,275
Transfer to retained earnings	–	–	(6,503)	(6,503)
Balance at March 31, 2013	$ (11,795)	$ 801	$ –	$ (10,994)

[i] *Items that are or may be subsequently reclassified to profit or loss.*

[ii] *Items that will not be reclassified to profit or loss.*

The change in accumulated foreign currency translation adjustments includes tax of $nil (2013: $nil) for the three months ended March 31, 2014.

The change in unrealized gain (loss) on cash flow hedges includes income tax expense of $0.2 million (2013: $0.3 million) for the three months ended March 31, 2014.

The change in actuarial gains and losses includes tax recovery of $0.3 million (2013: expense of $2.3 million) for the three months ended March 31, 2014.

The Company estimates that $0.8 million of the unrealized gain included in accumulated other comprehensive income will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the three months ended March 31, 2014, a gain of $0.2 million net-of-tax (2013: loss of $0.2 million net-of-tax) was released to earnings from accumulated other comprehensive loss and is included in the net change for the period.

12. RESTRUCTURING AND OTHER RELATED COSTS

	Three months ended March 31,	
	2014	2013
FRESH BAKERY		
Management structure changes		
Retention	**$ 1,465**	$ –
Severance	**–**	7,454
	$ 1,465	$ 7,454
Bakery closures		
Severance	**$ –**	$ 2,136
Site closing and other costs	**216**	623
Asset impairment and accelerated depreciation	**202**	635
Retention	**–**	213
Pension	**–**	(650)
	$ 418	$ 2,957
FROZEN BAKERY		
Bakery closures		
Asset impairment and accelerated depreciation	**$ (6)**	$ –
	$ (6)	$ –
Total restructuring and other related costs	**$ 1,877**	**$ 10,411**

Negative amounts reflect adjustments to provisions and reversals of previously recorded impairments.

A brief description of the projects is as follows:

Management Structure Changes

The Company has recorded restructuring and other related costs pertaining to organizational delayering and changes to its management structure.

Bakery Closures

During the three months ended March 31, 2014 and March 31, 2013, the Company recorded charges in connection with the closure of bakeries in Grand Falls, New Brunswick, and Edmonton, Alberta.

Impairment

During the three months ended March 31, 2014, the Company recorded $0.2 million (2013: $nil) of impairment of fixed assets through restructuring and other related costs.

13. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

The Company is exposed to credit risk, interest rate risk, liquidity risk, foreign exchange risk and commodity price risk. The Company has policies for managing these risks that are aligned with its overall objective to maintain a simple cost-effective capital structure that supports a long-term growth strategy and maximizes operating flexibility. There have been no material changes to the Company's risk and risk management activities since December 31, 2013.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held for trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accruals	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[i]	Held for trading

[i] *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The Company applies hedge accounting and uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in foreign exchange rates and commodity prices.

The fair values and notional amounts of derivative financial instruments at March 31 are shown below:

	2014			2013		
		Fair value			Fair value	
	Notional amount[i]	**Asset**	**Liability**	Notional amount[i]	Asset	Liability
Cash flow hedges						
Foreign exchange contracts [ii], [iii]	**$ 6,060**	**$ 1,101**	**$ –**	$ –	$1,077	$ –
Derivatives not designated in a formal hedging relationship						
Foreign exchange contracts [ii]	**$ 64,738**	**$ –**	**$ 280**	$ 50,967	$ 29	$ –
Total fair value		**$ 1,101**	**$ 280**		$ 1,106	$ –
Current		**$ 1,101**	**$ 280**		$ 1,106	$ –
Non-current		**–**	**–**		–	–
Total fair value		**$ 1,101**	**$ 280**		$ 1,106	$ –

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*

[ii] *This amount relates to related party foreign exchange contracts with Maple Leaf.*

[iii] *The fair value represents the accumulated value of foreign exchange commodity contracts executed within the period. The accumulated other comprehensive income balance related to this balance will be released against a future pre-determined delivery schedule in accordance with the hedging program.*

The fair value of financial assets classified as loans and receivables and other financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature.

The carrying value of long-term debt as at March 31, 2014, was $2.6 million (2013: $4.7 million), which approximates the fair value.

Financial assets and liabilities classified as held-for-trading are recorded at fair value. The fair values of the Company's foreign exchange derivative financial instruments were determined using current market measures for foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value is determined based on exchange prices.

Derivatives not designated in a formal hedging relationship are classified as held-for-trading. Net gains (losses) on financial instruments held-for-trading consist of realized and unrealized gains (losses) on derivatives that were de-designated or were otherwise not in a formal hedging relationship. During the quarter, the Company recorded an after-tax loss of $nil (2013: $nil) on financial instruments held for trading.

For the quarters ended March 31, 2014 and 2013, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	**$ –**	$ 1,101	**$ –**	**$ 1,101**
	$ –	**$ 1,101**	**$ –**	**$ 1,101**
Liabilities:				
Foreign exchange forward contracts	**$ –**	$ 280	**$ –**	**$ 280**
	$ –	**$ 280**	**$ –**	**$ 280**

There were no transfers between levels during the quarter ended March 31, 2014. Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. For financial instruments that are recognised at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization at the end of each reporting period.

14. OTHER EXPENSE

	Three months ended March 31,	
	2014	2013
Gain (loss) on sale of property and equipment	**$ (124)**	$ 1,316
Loss on sale of investment property	**(26)**	–
Gain on sale of assets held for sale	**1,725**	–
Impairment of assets	**–**	(3,570)
Legal settlements	**576**	–
Net investment property expenses	**(672)**	(261)
Transaction costs associated with sale of the Company	**(6,250)**	–
Other	**365**	2
	$ (4,406)	$ (2,513)

Impairments

Impairments recorded by the Company related to the following:

	Three months ended March 31,	
	2014	2013
Property and equipment	**$ –**	$ 2,315
Intangible assets	**–**	1,255
Total impairments	**$ –**	$ 3,570

15. INTEREST EXPENSE

	Three months ended March 31,	
	2014	2013
Interest expense on securitized receivables	**$ 258**	$ 266
Deferred finance charges	**21**	58
Interest expense on long-term debt	**63**	45
Other	**(128)**	28
	$ 214	$ 397

16. DISCONTINUED OPERATIONS

On November 25, 2013, the Company sold substantially all of the net assets of its Olivieri fresh pasta and sauce business ("Olivieri"), a component of the Fresh Bakery Products Group, to Catelli Foods Corporation. The net proceeds and final working capital adjustment were finalized during March 2014. The Company agreed on final pre-tax net proceeds of $115.8 million; a decrease of $0.5 million from the estimated pre-tax net proceeds of $116.3 million as at December 31, 2013. The adjustment to the gain on disposal and its related tax impact is recognized as part of the results of discontinued operations for the three months ended March 31, 2014.

The results of the Olivieri operations are presented below:

	Three months ended March 31,	
	2014	2013
Sales	**$ –**	$ 22,046
Cost of goods sold	**–**	18,010
Gross margin	**$ –**	$ 4,036
Selling, general, and administrative expenses	**–**	4,053
Operating loss before the following:	**$ –**	$ (17)
Adjustment of prior gain on disposal	**(468)**	–
Loss before interest and income taxes from discontinued operations	**$ (468)**	$ (17)
Interest expense	**–**	–
Loss before income taxes from discontinued operations	**$ (468)**	$ (17)
Income taxes	**160**	(4)
Net loss from discontinued operations	**$ (628)**	$ (13)
Earnings per share from discontinued operations *(Note 17)*		
Basic and diluted earnings per share from discontinued operations	**$ (0.03)**	$ (0.00)
Weighted average number of shares (millions)	**25.4**	25.4

There are no amounts included in comprehensive income relating to the disposal group for the quarters ended March 31, 2014 and 2013.

In order to accurately represent the continuing and discontinuing operations sales and cost of goods sold, certain intercompany eliminations have been reversed in the amounts presented above and in the statement of earnings for all periods presented.

The net cash flows provided by (used in) the Olivieri operations for the quarter ended March 31, 2014 and 2013 are as follows:

	Three months ended March 31,	
	2014	2013
Operating	**$ (160)**	$ (270)
Financing	**–**	379
Investing	**(468)**	(1,182)
Net cash flows	**$ (628)**	$ (1,073)

17. EARNINGS PER SHARE

The following table provides the calculation of basic and diluted earnings (loss) per share ("EPS"):

	2014			2013[ii]		
Three months ended March 31,	**Net earnings (loss)**	**Weighted average number of shares[i]**	**EPS**	Net earnings (loss)	Weighted average number of shares[i]	EPS
Basic and diluted						
Continuing operations	**$ 9,844**	**25.4**	**$ 0.39**	$ 2,294	25.4	$ 0.09
Discontinued operations	**(628)**	**25.4**	**(0.03)**	(13)	25.4	(0.00)
	$ 9,216	**25.4**	**$ 0.36**	$ 2,281	25.4	$ 0.09

[i] *In millions.*

[ii] *Restated, see Note 16.*

18. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf.

Fees paid to Maple Leaf in the three months ended March 31, 2014, for these services were $12.8 million (2013: $13.2 million). At March 31, 2014, the total outstanding balance payable to Maple Leaf was $6.1 million (2013: $5.1 million).

In addition to the management service agreement, the Company also is charged for the costs of certain direct services provided by Maple Leaf. This includes, but is not limited to, direct sales, supply chain management, order management, warehousing, and transportation services. These services are charged based upon time-based allocation. The occupancy costs and related direct expenses of any Company employees located at a Maple Leaf location are charged to the Company on a monthly basis based upon the proportion of the total square footage occupied by the Company.

As at March 31, 2013, the Company had a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. The facility was terminated in December 2013.

The Company has foreign exchange contracts with Maple Leaf as described in Note 13.

The Company sponsors a number of defined benefit and defined contribution plans. The Company's contributions to these plans were $2.2 million (2013: $2.4 million) in the three months ended March 31, 2014.

19. GOVERNMENT INCENTIVES

During the quarter ended March 31, 2013, the Company recorded a $2.0 million interest-free loan from the Canadian government related to the purchase of equipment. The loan is repayable over a period of eight years beginning in 2013.

20. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures, and have their own marketing strategies and brands. The Company's Management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery is comprised of fresh bakery products, sweet goods, and specialty fresh pasta and sauces. The fresh pasta and sauce business was sold during the fourth quarter of 2013 and has been classified as discontinued operations. Refer to Note 16 for further details. The Company also exited the artisan and sweet goods categories during 2013.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

(c) Non-allocated assets are comprised of corporate assets not separately identifiable to business segment groups. These include, but are not limited to, corporate property, plant and equipment, investment properties, assets held for sale, and tax balances.

	Three months ended March 31,	
	2014	2013
		Restated (Note 16)
Sales		
Fresh Bakery[i]	**$ 216,173**	$ 242,848
Frozen Bakery	**126,664**	126,065
Total sales	**$ 342,837**	$ 368,913
Sales from discontinued operations *(Note 16)*	**–**	(22,046)
Sales from continuing operations	**$ 342,837**	$ 346,867
Earnings before restructuring and other related costs and other income		
Fresh Bakery[i]	**$ 15,276**	$ 13,260
Frozen Bakery	**5,025**	3,841
Earnings before restrucutring and other related costs and other income	**$ 20,301**	$ 17,101
Loss before restructuring and other related costs and other income from discontinued operations *(Note 16)*	**–**	17
Earnings before restructuring and other related costs and other income from continuing operations	**$ 20,301**	$ 17,118
Capital expenditures		
Fresh Bakery[i]	**$ 6,565**	$ 1,841
Frozen Bakery	**3,624**	4,647
	$ 10,189	$ 6,488
Depreciation and amortization		
Fresh Bakery[i]	**$ 6,843**	$ 8,049
Frozen Bakery	**4,871**	4,728
	$ 11,714	$ 12,777

[i] *The prior year results from the Fresh Bakery Group include assets and goodwill from the Fresh Pasta and Sauces business.*

	As at March 31, 2014	As at March 31, 2013[i]	As at December 31, 2013
Total assets			
Fresh Bakery[i]	**$ 455,457**	$ 495,095	$ 427,722
Frozen Bakery	**357,512**	340,886	329,631
Non-allocated assets	**138,958**	126,755	381,295
	$ 951,927	$ 962,736	$ 1,138,648
Goodwill			
Fresh Bakery[i]	**$ 123,867**	$ 125,892	$ 123,867
Frozen Bakery	**147,433**	140,042	144,577
	$ 271,300	$ 265,934	$ 268,444

[i] *The prior year results as at March 31, 2013 from the Fresh Bakery Group include assets and goodwill from the Fresh Pasta and Sauces business.*

Information About Geographic Areas

Property, equipment, and investment property located outside of Canada was $116.4 million (2013: $94.8 million). Of this amount, $58.3 million (2013: $55.0 million) was located in the U.K. and $58.1 million (2013: $39.8 million) was located in the U.S.

Goodwill attributed to operations located outside of Canada was $94.0 million (2013: $86.6 million), all of which is attributed to operations in the U.S.

Revenues earned outside of Canada for the three months ended March 31, 2014, were $89.6 million (2013: $101.2 million). Of this amount $54.3 million (2013: $61.5 million) was earned in the U.S. and $35.2 million (2013: $39.7 million) was earned in the U.K. Revenue by geographic area is determined based on the shipping location.

Information About Major Customers

During the three months ended March 31, 2014, the Company reported sales to two customers (2013: two customers), each representing 15.5% (2013: 15.8%), and 10.2% (2013: 10.3%) of total sales, respectively. These revenues were reported in both the Fresh Bakery and Frozen Bakery segments.



Canada Bread Company, Limited

10 Four Seasons Place
Etobicoke, Ontario M9B 6H7
www.canadabread.ca